

Week ending 13th November 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day and 364-day** were over-subscribed recording **220%** and **135%** respectively wile the **182-day** T-bill was undersubscribed recording **80%**. The CBK accepted KES **8.6B**, **8.0B** and **13.1B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

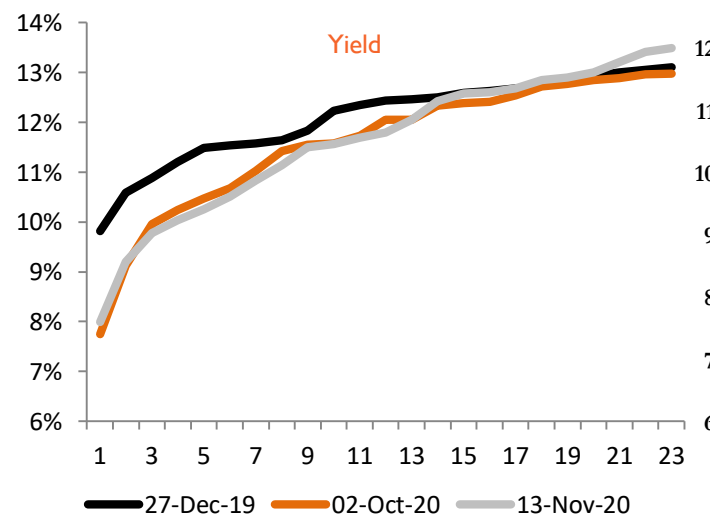
In November, Central Bank of Kenya re-opened two fixed bonds **FXD2/2013/15-(7.52 years)** and **FXD1/2018/20-(17.4 years)** in a bid to raise **40 Billion**. The coupon rates for the bonds are **12.000%** and **13.200%** respectively. The period of sale for the bonds runs from **04/11/2020** to **17/11/2020**. The bonds attract a withholding tax of **10%** each.

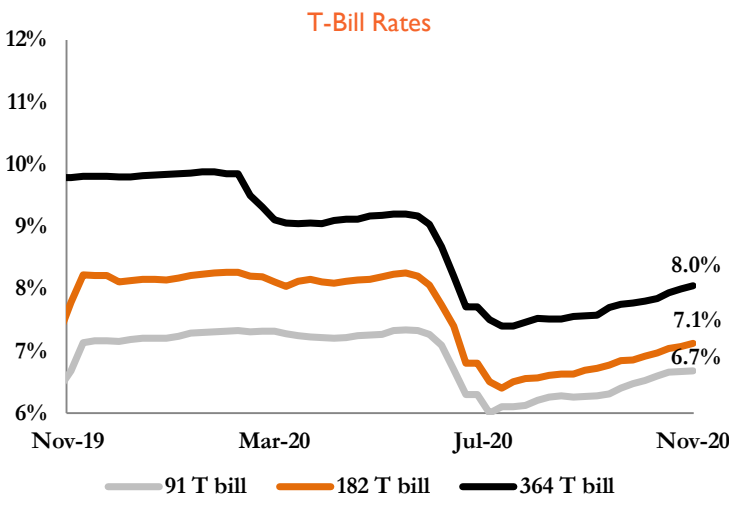
Key Indicators

	Current	Previous	% Change
91- Day	6.67%	6.66%	0.15%
182-Day	7.11%	7.07%	0.57%
364-Day	8.04%	7.99%	0.63%
Interbank Rate	2.74%	3.34%	17.96%

Macroeconomic data	Current	Previous
GDP (2Q20 vs. 2Q19)	-5.7%	5.6%
Inflation (October)	4.84%	4.20%
Private sector credit growth (August)	8.30%	7.6%
Money Supply (August)	11.01%	11.29%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.17%** to stand at **109.11**.The CBK's usable forex reserves currently stands at **USD 8,142million** (**4.94** months of import cover) as at November 12th a **0.17%** increase from **USD8,128million**(**4.93** months of import cover) as at November 5th.

Inflation

Inflation rose to **4.84%** in October. The CPI increased by **0.95** from **108.57** in September to **109.60** in October. This increase occurred on the back of a rise in the housing, water, electricity, gas & other fuels and transport indices which increased by **0.94%** and **0.62%** respectively**.**

GDP growth

Growth receded to **-5.7%** in 2Q20 from **5.6%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.3%** to **6.4%** year-on-year, other sectors have had negative growth including manufacturing, education and accommodation that slowed down to **-3.9%, -56.2%** and **-83.3%** respectively as a result of the crisis caused by the pandemic. For more information click here.

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